

Step-3: Company Analysis

1. Final stage of fundamental analysis is company analysis.
2. Areas to be examined are the company, the results, ratios and cash flow.

Management

1. Management is the single most important factor to consider in a company. Upon its quality rests the future of the company.
2. In India two main types of management — family and professional.
3. Investors must check on integrity of managers, proven competence, how high is it rated by its peers, how did it perform at times of adversity, the management's depth of knowledge, its innovativeness and professionalism.

The Company

1. It is important to check how company is perceived by its competition and whether it is the market leader in its products or in its segment.
2. The investor must determine the policy a company follows and its plans for growth.
3. Labour relations are important.

The Annual Report

1. The annual report is the primary and most important source of information on a company.
2. The investor must read between and beyond the lines of an annual report to determine the state of the company being considered.
3. The annual report is broken into the directors' report, the auditor's report, the financial statements and the schedules.